

Intermediate Macro

Chapter 21: Should Policymakers Be Restrained?

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Summer 2022



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① Chapter 21: Should Policymakers Be Restrained?

- 21.1 Uncertainty and Policy
- 21.2 Expectations and Policy
- 21.3 Politics and Policy



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Key Tools and Concepts

- In economics, a **game** refers to strategic interactions among a set of players.
- A government faces a **time inconsistency** problem when it has an incentive to deviate from a promised policy once private agents have made decisions based on the policy.
- A **political business cycle** occurs when policymakers try to generate expansions before elections in hopes of securing reelection.

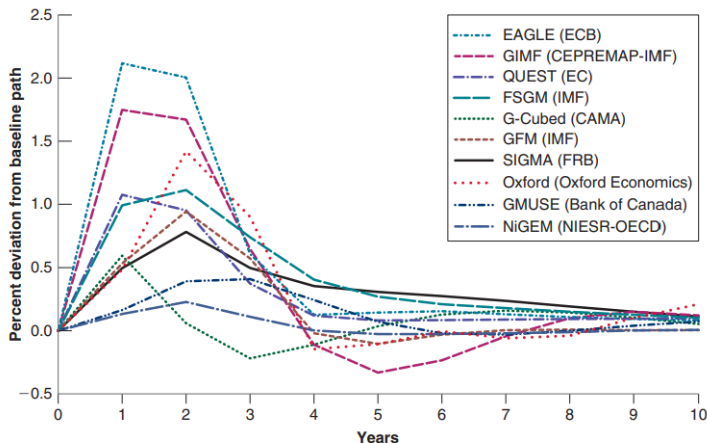
How Much Do Macroeconomists Actually Know?

21.1 Uncertainty and Policy

- Despite the apparent beneficial role that macroeconomic policy can play, arguments for restraints on policymakers are common.
- These arguments fall into two classes.
 - ① One view is that policymakers, in trying to do well, do more harm than good.
 - ② The other view is that policymakers do what is best for themselves, rather than for society as a whole.
- One reason that policymakers may do harm is that the effects of policy are uncertain.
- When conducting a policy, central banks—or macroeconomic policymakers in general—rely on macroeconomic models.

The Response of Output to a Monetary Expansion: Predictions from 10 Models

21.1 Uncertainty and Policy



Uncertainty and Restraints on Policymakers

21.1 Uncertainty and Policy

- There is substantial uncertainty about the effects of macroeconomic policies.
- This uncertainty should lead policymakers to be cautious and to limit the use of active policies.
- In normal times, macroeconomic policies should stop short of **fine tuning**—trying to achieve constant unemployment or constant output growth.
- Note that what we have developed so far is an argument for *self-restraint* by policymakers, not for *restraints on* policymakers.

Game Theory and Macroeconomic Policy

21.2 Expectations and Policy

- One of the reasons the effects of macroeconomic policy are uncertain is the interaction of policy and expectations.
- The importance of expectations for policy goes, however, beyond uncertainty about the effects of policy.
- This brings us to a discussion of *games*.
- Until 30 years ago, macroeconomic policy was seen in the same way as the control of a complicated machine. Methods of **optimal control**, developed initially to control and guide rockets, were increasingly being used to design macroeconomic policy.
- Unlike a machine, the economy is composed of people and firms who try to anticipate what policymakers will do, and who react not only to current policy but also to expectations of future policy.

Time Inconsistency

21.2 Expectations and Policy

- Sometimes a government has an incentive to deviate from a promised policy once private agents have made decisions based on the policy.
- In this case, the government's optimal policy is said to be **time inconsistent**.
- Recall the relation between inflation and unemployment derived in Chapter 8 (equation (8.10)):

$$\pi = \pi^e - \alpha(u - u_n) \quad (21.1)$$

- Suppose the Fed announces it will follow a monetary policy consistent with a target of zero inflation ($\bar{\pi} = 0$).

Inflation and Unemployment Revisited

21.2 Expectations and Policy

- On the assumption that people believe the announcement, expected inflation π^e as embodied in wage contracts is equal to zero, and the Fed faces the following relation between unemployment and inflation:

$$\pi = -\alpha(u - u_n) \quad (21.2)$$

- If the Fed follows through with its announced policy, it will choose an unemployment rate equal to the natural rate: from equation (21.2), realized inflation will be equal to zero.
- In this situation, the Fed faces an incentive to deviate from the announced policy.

Deviation versus Commitment

21.2 Expectations and Policy

- Assume, for the purpose of computation, α is equal to 0.5.
- Equation (21.2) implies that, by accepting just 1% inflation, the Fed can achieve an unemployment rate of $1\%/0.5=2\%$ *below* the natural rate of unemployment.
- Unfortunately, this is not the end of the story. Seeing that the Fed has allowed for more inflation than it announced it would, wage setters are likely to smarten up and begin to expect positive inflation of 1% next year.
- If the Fed still wants to achieve an unemployment rate 2% below the natural rate, it will now have to accept 2% inflation.
- The eventual outcome is likely to be persistent high inflation.
- What, then, is the best policy for the Fed to follow in this case?

Establishing Credibility

21.2 Expectations and Policy

- How can a central bank credibly commit to not deviate from its announced policy?
- One way to establish its credibility is for the central bank to give up or to be stripped by laws of its policymaking power.
- Such a law surely takes care of the problem of time inconsistency. But the tight restraint comes close to throwing the baby out with the bath water.
- There are indeed better ways to deal with time inconsistency.
- A first step is to make the central bank independent.
- By an **independent central bank**, we mean a central bank where interest rate and monetary supply decisions are made independent of the influence of currently elected politicians.

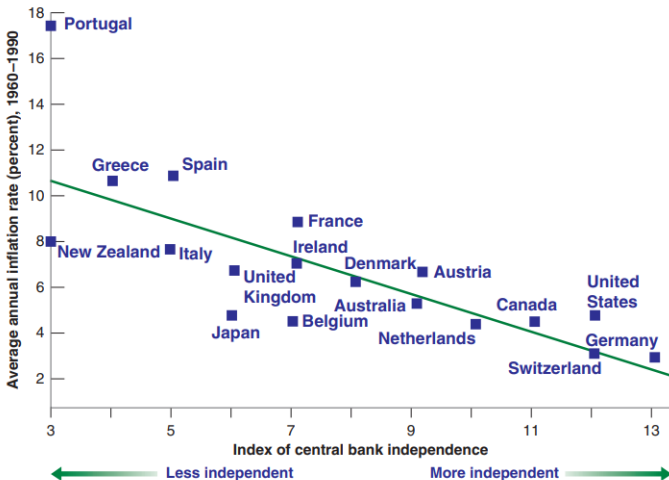
Several Steps to Build the Credibility of Central Banks

21.2 Expectations and Policy

- Even if it is not subject to political power, the central bank may be tempted to decrease unemployment below the natural rate.
- So a second step is to give incentives to the central bankers to take the long view.
- A third, and more controversial, step may be to appoint a "conservative" central banker, someone who dislikes inflation very much and is therefore less willing to accept more inflation in exchange for less unemployment when unemployment is at the natural rate.

Inflation and Central Bank Independence

21.2 Expectations and Policy



Games between Policymakers and Voters

21.3 Politics and Policy

- Previous sections assumed that policymakers were benevolent. In fact, politicians may act to maximize their own reelection prospects.
- If voters are shortsighted, politicians have an incentive to implement policies that generate short-run benefits, regardless of the long-run costs of these policies.
- With the right timing and short-sighted voters, higher growth and lower taxes can win elections. Thus, we might expect a clear **political business cycle** (i.e., economic fluctuations induced by political elections) associated with higher growth on average before elections than after elections.

Supporting Evidence of Political Business Cycle

21.3 Politics and Policy

Table 21-1 Growth during Democratic and Republican Presidential Administrations: 1948–2018					
<i>Year of administration</i>					
	First (%)	Second (%)	Third (%)	Fourth (%)	Average (%)
Democratic	2.4	5.1	3.8	3.4	3.7
Republican	3.3	0.9	3.3	3.8	2.8
Average	2.8	3.0	3.5	3.6	3.2
Source: Calculated using Series GDPCA, from 1948 to 2018: Federal Reserve Economic Data (FRED) https://fred.stlouisfed.org/					

Games between Policymakers

21.3 Politics and Policy

- Another source of harmful policies emerges out of strategic games *among* policymakers.
- Substantial policy disagreements occasionally result in **wars of attrition** between political parties that result in the postponement of needed policies, such as deficit reduction.
- If politics sometimes lead to large and lasting budget deficits, can rules be put in place to limit these adverse effects?
- A constitutional amendment to balance the budget each year would eliminate the problem of deficits.